

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SOUTHERN STATES FORWARDING, INC., *Claimant*

v.

OCEAN NETWORK EXPRESS (NORTH AMERICA) INC.,
Respondent.

DOCKET NO. 1981(I)

Served: November 18, 2022

BEFORE: Theresa DIKE, *Small Claims Officer.*

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On August 23, 2022, the Secretary of the Federal Maritime Commission (“FMC” or “Commission”) issued a Notice of Filing of Small Claims Complaint and Assignment, noting that Complainant Southern States Forwarding, Inc. (“Southern States”) had filed a complaint against Respondent Ocean Network Express (North America) Inc. (“ONE NA”). Claimant, an ocean freight forwarder, filing on behalf of its customer, Toyoshima International America, Inc. (“TIA”), alleged in its complaint that ONE NA violated 46 U.S.C. §§ 40101, 41104(a)(15), 41104(d)(2)(A-L), and 41104(d)(2)(M) of the Shipping Act by demanding payment of demurrage on a shipment ONE NA knew or should have known it was not entitled to collect.

The Secretary instructed Respondent to file a response to the Claim by September 19, 2022, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a Small Claims Officer to adjudicate the proceeding. On September 15, 2022, Respondent was granted an extension of time to file its answer. On September 23, 2022, Respondent submitted its answer to the claim and consented to the use of informal procedures for the adjudication of this proceeding. Accordingly, on September 27, 2022, the Chief ALJ appointed the undersigned as the small claims officer for the proceeding.

In its answer, ONE NA asserted *inter alia* that it is not itself an ocean common carrier, but merely a U.S. agent for the ocean common carrier Ocean Network Express, Pte. Ltd. (“ONE”). On September 29, 2022, Southern States was *sua sponte* granted permission to amend its complaint to add ONE as a respondent to the proceeding, should it choose to do so. Southern States did not opt to add ONE as a respondent, but instead submitted on October 14, 2022, a substantive response to ONE NA’s answer to the complaint which did not comply with the instructions given to it for submitting an amended complaint. Thus, on October 17, 2022, an Order was issued, rejecting its submission but permitting it to correct certain identified

deficiencies in the submission and resubmit a request to amend its complaint with the amended complaint by October 18, 2022. Claimant failed to respond to the Order.

Pursuant to the Commission's Rules of Practice and Procedure at 46 C.F.R. § 502.304(a) and (e) related to small claims proceedings, which authorize the Small Claims Officer in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, an order was issued, directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses by November 7, 2022.

On November 3, 2022, an email was received from Claimant indicating that it had settled its dispute with Respondent and wished to dismiss the proceeding. On November 11, 2022, Claimant submitted a motion to dismiss ("Motion"), together with a copy of the parties' confidential settlement agreement and release.¹

Pursuant to the Commission's Rule 72(a)(3):

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties, however the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maier Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maier Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster

¹ The settlement agreement includes Southern States' customer, TIA, which is not a party in this proceeding.

and receive approval.” *Id.* At 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement. [sic]” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties state that in exchange for the consideration received under their agreement they fully resolve and dispose of all claims against each other in connection with this proceeding. Settlement Agreement at 1-3. The parties further state that the agreement is the result of negotiations between their respective attorneys, with input from the parties, and that prior to signing the agreement the parties consulted with their attorneys and “have had the opportunity to have any questions they have regarding the terms or effect of this Agreement answered by attorneys of their choosing.” Settlement Agreement at 3.

A review of the settlement agreement, which is signed by the parties, does not show any indicia of fraud, duress, undue influence, or mistake and appears to reflect an arms-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties’ settlement agreement is approved and this proceeding dismissed.

Although the parties did not specifically request confidentiality, the Settlement Agreement is labeled as “Confidential” and states that the parties “acknowledge and agree that the terms and conditions of this Agreement are and will remain entirely confidential” and that “this confidentiality provision is a material term of this agreement.” Settlement Agreement at 4. It is thus presumed that the parties are seeking confidentiality for their agreement. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ implied request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant’s motion to dismiss its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer